IN THE NATIONAL COMPANY LAW TRIBUNAL

COURT NO. IV, NEW DELHI

CA (CAA)-86(ND)/2021

IN THE MATTER OF SECTIONS 230-232 OF COMPANIES ACT, 2013

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

IN THE MATTER OF:

Scheme of Amalgamation

OF

HIGH GROWTH SECURITIES PRIVATE LIMITED

(Transferor Company No.1 /Applicant Company-1)

AND

BLG BROKERS AND SECURITIES PRIVATE LIMITED

(Transferor Company No.2 / Applicant Company-2)

WITH

DG TRADERS PRIVATE LIMITED

(Transferee Company /Applicant Company-3)

Order Pronounced on: 28.10.2021

CORAM:
DR. DEEPTI MUKESH
HON'BLE MEMBER (Judicial)

MS. SUMITA PURKAYASTHA
HON'BLE MEMBER (TECHNICAL)

MEMO OF PARTIES

High Growth Securities Private Limited

Registered Office at:

150-A, D.D.A Flats, Shahpur Jat,

New Delhi – 110049

...Transferor Company No.1 /Applicant Company-1

AND

BLG Brokers and Securities Private Limited

Registered office at:

150-A, D.D.A Flats, Shahpur Jat,

New Delhi – 110049

...Transferor Company No.2 /Applicant Company-2

WITH

DG TRADERS PRIVATE LIMITED

Registered office at:

150-A, D.D.A Flats, Shahpur Jat,

New Delhi – 110049

....Transferee Company /Applicant Company-3

For the Applicants :

For the OL : Ms. Hemlata Rawat

Mr. Aayushman Vatsyayana

ORDER
Per-Dr. Deepti Mukesh, Member (Judicial)

1. This is an application filed by High Growth Securities & Holdings Private Limited (for brevity "Transferor No.1 Company"), BLG Brokers & Securities Private Limited (for brevity "Transferor No.1 Company") and DG Traders Private Limited (for brevity "Transferee Company"), jointly under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed between the applicants.

2. An affidavit in support of the above application sworn by Mr. Bhanwar Lal Gupta being the authorized representative of all the applicant companies, who has been authorized vide board resolution dated 09.03.2021 passed at their respective board meetings, is placed on record. It is also represented that the registered office of all the applicant companies are under the domain of Registrar of Companies, NCT of New Delhi & Haryana and which is within the territorial jurisdiction of this Tribunal.

3. The Transferor No.1 Company is a private limited company incorporated on 04.08.1994 under the provisions of Companies Act, 1956, bearing CIN: U74899DL1994PTC060694 and having registered office at 150-A, D.D.A. Flats, Shahpur Jat, New Delhi – 110049. The company is a Non Banking Financial Company registered with the RBI vide certificate of registration no. B-1400180.

The Authorized Share Capital of the Company is Rs. 1,50,00,000/- (divided into 15,00,000 Equity Shares of Rs. 10/- each) and the Issued, subscribed and Paid-Up Share Capital is Rs.1,30,35,000/- (divided into 13,03,500 Equity shares of Rs. 10/- each).

4. The Transferor No.2 Company is a private limited company incorporated on 05.04.1995 under the provisions of Companies Act, 1956, bearing CIN: U74899DL1995PTC067171 and having registered office at 150-A, D.D.A. Flats, Shahpur Jat, New Delhi – 110049. The company is a Non Banking Financial Company registered with the RBI vide certificate of registration no. B-1400301. The Authorized Share Capital of the Company is Rs. 1,50,00,000/- (divided into 15,00,000 Equity Shares of Rs. 10/- each) and the Issued, subscribed and Paid-Up Share Capital is Rs.1,39,00,000/- (divided into 13,90,500 Equity shares of Rs. 10/- each).

5. The Transferee Company is a private limited company incorporated on 17.01.1995 under the provisions of Companies Act, 1956, bearing CIN: U74899DL1995PTC064431 and having registered office at 150-A, D.D.A. Flats, Shahpur Jat, New Delhi – 110049. The company is a Non Banking Financial Company registered with the RBI vide certificate of registration no. B-1401208. The Authorized Share Capital of the Company is Rs. 1,50,00,000/- (divided into 15,00,000 Equity Shares of Rs. 10/- each) and the Issued, subscribed and

Paid-Up Share Capital is Rs.1,33,00,000/- (divided into 13,30,000 Equity shares of Rs. 10/- each).

6. All the applicant companies have filed their respective Memoranda and Articles of Association inter alia delineating their object clauses, as well as their last Audited Annual Accounts for the year ended 31st March 2020 and the provisional balance sheet upto 31st December 2020.

7. The Board of Directors of all the Applicant companies at their respective board meetings held on 9th March 2021 has unanimously approved the proposed Scheme of amalgamation as contemplated above. Copies of resolutions passed in their respective board meetings of all the applicant companies have been placed on record.

8. All the applicant companies have annexed the certificates from their respective statutory auditors in compliance under Section 133 of the Companies Act, 2013 read with Rule 7 of companies (Accounts) Rules, 2014 and other Generally Accepted Accounting Principles.

9. It is stated that the Transferor No. 1 Company is having 8 Equity Shareholders, certificate from Chartered Accountants certifying list of shareholders is annexed. It is further represented that the Company has no Secured Creditor

unsecured creditors, certificate from Chartered Accountants certifying list of secured and unsecured creditors is annexed.

(i) The equity shareholders have not given their consent in writing by way of affidavit to the proposed Scheme of Arrangement. Therefore the company seeks to convene meetings of equity shareholders.

(ii) Since there is no secured creditor therefore the necessity of convening/holding a meeting does not arise.

(iii) Since there is no unsecured creditor therefore the necessity of convening/holding a meeting does not arise.

10. It is stated that the Transferor No. 2 Company is having 7 Equity Shareholders, certificate from Chartered Accountants certifying list of shareholders is annexed. It is further represented that the Company has no Secured Creditor unsecured creditors, certificate from Chartered Accountants certifying list of secured and unsecured creditors is annexed.

(i) The equity shareholders have not given their consent in writing by way of affidavit to the proposed Scheme of Arrangement. Therefore the company seeks to convene meetings of equity shareholders.

(ii) Since there is no secured creditor therefore the necessity of convening/holding a meeting does not arise.

(iii) Since there is no unsecured creditor therefore the necessity of convening/holding a meeting does not arise.

11. It is stated that the Transferee Company is having 6 Equity Shareholders, certificate from Chartered Accountants certifying list of shareholders is annexed. It is further represented that the Company has no Secured Creditor unsecured creditors, certificate from Chartered Accountants certifying list of secured and unsecured creditors is annexed.

    (i) The equity shareholders have not given their consent in writing by way of affidavit to the proposed Scheme of Arrangement. Therefore the company seeks to convene meetings of equity shareholders.

    (ii) Since there is no secured creditor therefore the necessity of convening/holding a meeting does not arise.

    (iii) Since there is no unsecured creditor therefore the necessity of convening/holding a meeting does not arise.

12. The appointed date as specified in the Scheme is 1st April, 2020 subject to the directions of this Tribunal.

13. Taking into consideration the submissions and the documents filed therewith, we propose to issue the following directions with respect to calling, convening and holding of the meetings of the Shareholders, Secured and Unsecured Creditors or dispensing with the same as well as issue of notices including by way of paper publication as follows: -

A) In relation to the Transferor No.1 Company :

(i) **With respect to Equity shareholders:** It is represented that there are 8 Equity Shareholders in the Company. Meeting of the equity shareholders shall be convened conducted physically/virtually on 11th December 2021 at 10:00 A.M. The venue of the meeting shall be 2nd Floor, E-4, Defence Colony, New Delhi – 110034. The quorum of the meeting shall be 3 in number.

(ii) **With respect to Secured Creditors:** Since there are no secured creditors therefore the necessity of convening/holding the meeting does not arise.

(iii) **With respect to Unsecured Creditors:** Since there are no unsecured creditors therefore the necessity of convening/holding the meeting does not arise.

B) In relation to the Transferor No.2 Company :

(i) **With respect to Equity shareholders:** It is represented that there are 7 Equity Shareholders in the Company. Meeting of the equity shareholders shall be convened conducted physically/virtually on 11th December 2021 at 11:00 A.M. The venue of the meeting shall be 2nd Floor, E-4, Defence Colony, New Delhi – 110034. The quorum of the meeting shall be 3 in number.

(ii) **With respect to Secured Creditors:** Since there are no secured creditors therefore the necessity of convening/holding the meeting does not arise.

(iii) **With respect to Unsecured Creditors:** Since there are no unsecured creditors therefore the necessity of convening/holding the meeting does not arise.

C) In relation to the Transferee Company :

(i) **With respect to Equity shareholders:** It is represented that there are 6 Equity Shareholders in the Company. Meeting of the equity shareholders shall be convened conducted physically/virtually on 11th December 2021 at 12:30 P.M. The venue of the meeting shall be 2nd Floor, E-4, Defence Colony, New Delhi – 110034. The quorum of the meeting shall be 2 in number.

(ii) **With respect to Secured Creditors:** Since there are no secured creditors therefore the necessity of convening/holding the meeting does not arise.

(iii)**With respect to Unsecured Creditors:** Since there are no unsecured creditors therefore the necessity of convening/holding the meeting does not arise.

14. The meetings of the equity shareholders of all the applicant Companies shall be convened as directed:

(i) The chairperson appointed for all the meetings is Ms. Deepa Krishan, having email id: deepakrishan@gmail.com and contact no. 9818369200,

(ii) The alternate Chairperson appointed for all the meetings is Mr. Ipshit Pathak, having email id: ipshitpathak@gmail.com and contact no.9411854221.

(iii) The observer/Scrutinizer appointed for the meetings is Ms. Shruti Kumar, CS, and contact no.8377836964.

(iv) The fees for all the appointees above named in addition to meeting their incidental expense shall be as follows:

a) For the chairperson, Ms. Deepa Krishan – Rs 1,50,000/-

b) For the alternate chairperson, Mr. Ipshit Pathak, Adv. - Rs.1,00,000/- and

c) For the observer, Ms. Shruti Kumar - Rs. 65,000/-

(v) The chairperson will file report within a week from the date of holding of the above said meetings.

(vi) The notice of the above said meetings shall be sent by all the Applicant companies through registered post or through courier or through email, 30 days in advance before the scheduled date of the meeting , indicating the day, date, the place and the time as aforesaid, together with a proposed scheme of amalgamation, copy of explanatory statement as required to be sent under the companies Act, 2013, the prescribed from of proxy shall also be sent along and in addition to the above and any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

(vii) The Applicant Companies shall publish advertisement in the newspapers namely, "Business Standard" (English, Delhi edition) and "Business Standard" (Hindi, Delhi edition) not less than 30 days before the aforesaid meetings.

(viii) Voting shall be allowed on the proposed Scheme by voting in person, the chairperson shall be responsible to report the result of the meeting within a period of 3 days of the conclusion of the hearing with details of voting on the proposal scheme.

15. Notice of this application shall also be served on the following Statutory Authorities:

(i) Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2 Floor, Paryawaran Bhavan, CGO Complex, New Delhi-110003;

(ii) Registrar of Companies at 4 floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

(iii) Official liquidator, Lok Nayak Bhavan, 8 Floor, Khan Market, New Delhi-110001;

(iv) Reserve Bank of India, Department of Non- Banking Supervision 6, Sansand Marg, New Delhi - 110001

(v) Income Tax Department, Income Tax Office, Additional Commissioner Of Income Tax, Special Range 4, Central Revenue Building, IP Estate, New Delhi-110002. The notices to Income Tax Authorities shall disclose sufficient details like PAN, ward numbers and assessing officers

(vi) And to such other Sectoral Regulatory Authorities who may govern the working of the respective companies involved in the Scheme.

The application is allowed and disposed off in terms of above order.

Sd/-

(SUMITA PURKAYASTHA)
MEMBER (T)

Sd/-

(DR. DEEPTI MUKESH)
MEMBER (J)